Meridian Innovations Inc. (TVZ) - Form 10-K

FY2024

Meridian Innovations Inc.

Form 10-K for the Fiscal Year Ended 2024

Ticker: TVZ | Sector: Consumer Discretionary | HQ: Tennessee

> **NOTE:** This is a synthetic filing generated for a RAG-evaluation benchmark dataset. Meridian Innovations Inc. is a fictional company; it does not exist. Every figure below is internally consistent and traceable to this project's computed financial statements, but nothing here describes a real company, and it should not be treated as an actual SEC filing.

Item 1. Business

Introduction

Meridian Innovations Inc. ("Meridian," "we," "our," or "us") is a retailer and distributor of automotive replacement parts and accessories, headquartered in Tennessee. We sell automotive hard parts, maintenance items, accessories, and related non-automotive products through a network of retail stores, the majority of which also serve commercial customers such as repair garages, dealers, service stations, and fleet operators through a commercial delivery program. We also sell through e-commerce channels. We do not perform automotive repair or installation services ourselves.

For the fiscal year ended December 31, 2024, we generated net sales of $16,486.4 million. Our business model depends on maintaining broad and deep product availability across our store network and distribution centers, which requires us to carry substantial inventory; inventory represented approximately 32.8% of our total assets as of fiscal year end.

Store Operations

We operate stores across the United States, organized into geographic divisions supported by a network of regional distribution centers that allow us to replenish store inventory frequently. Each store carries a broad assortment of parts and accessories sized to local vehicle populations, supplemented by access to a larger inventory pool at distribution centers and nearby stores for items not stocked locally.

Commercial Sales Program

A majority of our stores participate in a commercial sales program that provides prompt delivery of parts and commercial credit to repair garages, dealers, service stations, fleet operators, and other commercial accounts. We believe our commercial program is an important driver of revenue growth, extending our addressable market beyond walk-in retail customers.

Human Capital Resources

We employ a workforce consisting predominantly of store-level personnel, with the remainder employed in distribution centers and corporate support functions. The substantial majority of our store personnel are part-time employees. We do not have any collective bargaining agreements in the United States and believe our relationships with our employees are good.

Competition

The retail and distribution of automotive parts and accessories is highly competitive. We compete with other national and regional automotive parts retailers, mass merchandisers, online retailers, and automobile dealers that sell original equipment parts. We believe the principal competitive factors in our industry are product availability, store location and convenience, customer service, and price.

Item 1A. Risk Factors

Risks Related to Our Business and Industry

Our sales are affected by macroeconomic factors that influence the number of vehicles on the road, how many miles they are driven, and how long consumers keep them in service. A sustained decline in miles driven, or a shift toward newer vehicles under manufacturer warranty, could reduce demand for aftermarket parts and adversely affect our sales.

We depend on our ability to maintain sufficient inventory availability across our stores and distribution network. Inventory represented approximately 32.8% of our total assets as of December 31, 2024. A failure to accurately forecast demand, or a disruption affecting our suppliers, transportation providers, or distribution centers, could result in lost sales or excess or obsolete inventory.

We face intense competition from other automotive parts retailers, mass merchandisers, online retailers, and vehicle dealers. Continued growth in online and omnichannel competition could pressure our margins or require additional investment in our own digital capabilities.

Risks Related to Our Financial Position

Our capital structure includes a substantial amount of liabilities relative to our stockholders' equity, the result of a sustained share repurchase program financed in large part by debt issuance. As of December 31, 2024, we had stockholders' equity of $267.4 million against total assets of $13,368.6 million. We view this capital allocation approach as a deliberate expression of confidence in our underlying cash flow generation rather than a symptom of financial weakness, though it nonetheless limits our financial flexibility and increases our vulnerability to adverse changes in interest rates or operating performance during a prolonged downturn.

Risks Related to Our Workforce

Our business depends on our ability to attract, train, and retain a large workforce of store and distribution-center personnel. The substantial majority of our store-level workforce is part-time, and competition for retail and distribution labor, as well as wage inflation, could increase our operating costs or affect staffing levels.

Risks Related to Cybersecurity and Information Technology

Our business depends on information technology systems that support our point-of-sale, e-commerce, inventory management, and commercial credit operations. As described in Item 1C, "Cybersecurity," while we have not experienced a material cybersecurity incident to date, a future incident affecting our systems or those of our third-party service providers could disrupt our operations, compromise customer or employee data, and result in remediation costs, litigation, or reputational harm.

General Risk Factors

Our business is moderately seasonal, and unusually mild weather, a shorter selling season, or other seasonal disruptions could reduce sales of seasonally sensitive products such as those related to vehicle air conditioning and battery failure.

Item 1C. Cybersecurity

Risk Management and Strategy

We have implemented a cybersecurity risk management program designed to identify, assess, and manage material risks from cybersecurity threats to our information systems and the data we process, including customer, employee, and commercial-account information. Our program is informed by ISO/IEC 27001, and we periodically benchmark our practices against that standard.

Our cybersecurity program includes continuous monitoring of our information technology environment, vulnerability scanning and penetration testing, employee security-awareness training, and a formal incident response plan that sets out procedures for investigating, containing, and remediating cybersecurity incidents. Because our point-of-sale, e-commerce, inventory management, and commercial credit systems depend in part on third-party service providers, our vendor management process includes an assessment of those providers' security practices.

Cybersecurity Risks

We have not experienced a material cybersecurity incident to date. However, like other retailers, we are a target of cybersecurity threats, and a future incident affecting our systems or those of our third-party service providers could disrupt store or distribution operations, compromise sensitive data, and result in remediation costs, litigation, or reputational harm. See Item 1A, "Risk Factors," for additional discussion of cybersecurity-related risks.

Governance

The Audit Committee of our Board of Directors is responsible for overseeing our cybersecurity risk management program. Management provides the Audit Committee with regular updates on our cybersecurity program, including the results of risk assessments, the status of our security initiatives, and the threat landscape we face.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations

Overview

Meridian Innovations Inc. is a retailer and distributor of automotive replacement parts and accessories. For the fiscal year ended December 31, 2024, we generated net sales of $16,486.4 million, operating income of $3,114.1 million (an operating margin of 18.9%), and net income of $2,592.4 million (a net margin of 15.7%).

Results of Operations

The following table summarizes our results of operations for the fiscal year ended December 31, 2024 (in millions, except percentages; amounts may not sum due to rounding):

Line item	Amount	% of total
Net sales	$16,486.4	100.0%
Cost of sales	7,992.4	48.5%
Gross profit	8,494.0	51.5%
Selling, general and administrative expenses	6,160.7	37.4%
Other operating items, net	(780.7)	(4.7)%
Operating income	3,114.1	18.9%
Income tax expense	521.7	3.2%
Net income	2,592.4	15.7%

Our gross margin of 51.5% reflects our merchandise mix and ongoing efforts to manage product cost and pricing. Selling, general and administrative expenses, which include store payroll, occupancy, and advertising costs, represented 37.4% of net sales. Our effective tax rate for the year was 16.8%, below the 21% U.S. federal statutory rate, reflecting discrete tax items in the period.

Liquidity and Capital Resources

We generated $2,517.3 million of cash from operating activities during 2024, reflecting net income of $2,592.4 million and depreciation and amortization of $512.8 million, partly offset by changes in working capital. We used $1,203.3 million of cash in investing activities, primarily capital expenditures of $815.2 million related to new store openings, store remodels, and distribution center capacity, partly offset by other investing outflows. Financing activities used $1,698.9 million of cash, primarily reflecting $3,066.9 million used for share repurchases, partly offset by other financing inflows. We did not pay dividends during 2024. Taken together, our cash and cash equivalents decreased by $384.9 million during the year.

As of December 31, 2024, we had stockholders' equity of $267.4 million, the result of a sustained, debt-financed share repurchase program rather than a build-up of retained earnings. Management regards this capital allocation approach as a deliberate strategy reflecting confidence in the business's cash-generating capacity, while recognizing that it correspondingly narrows our equity cushion against a sustained downturn in operating performance. We believe our cash flow from operations, together with access to the credit and capital markets, will be sufficient to fund our operating needs, capital expenditures, and share repurchase program for at least the next twelve months.

Critical Accounting Estimates

Inventory. Inventory, which represented approximately 32.8% of our total assets as of December 31, 2024, is stated at the lower of cost or market. We make estimates regarding shrinkage and excess or obsolete inventory based on historical experience and current market conditions.

Self-Insurance Reserves. We are self-insured for a portion of our exposure to general liability, workers' compensation, and vehicle liability claims. We estimate our self-insurance reserves based on historical claims experience and actuarial assumptions, which involve significant judgment.

Recent Accounting Pronouncements

See the notes to our consolidated financial statements in Item 8 for a discussion of recently issued accounting pronouncements and their expected effect on our consolidated financial statements.

Item 8. Financial Statements and Supplementary Data

Report of Management

The accompanying consolidated financial statements present the financial position, results of operations, and cash flows of Meridian Innovations Inc. for the fiscal year ended December 31, 2024. All dollar amounts below tie directly to the figures in this filing's underlying financial data and are presented in millions, except per-share data, unless otherwise noted; amounts may not sum exactly due to rounding.

Consolidated Balance Sheet (in millions)

Assets

Line item	Amount
Cash and cash equivalents	$266.6
Accounts receivable, net	370.3
Inventory	4,378.4
Property, plant and equipment, net	4,473.7
Goodwill	266.2
Other assets	3,613.5
Total assets	$13,368.6

Liabilities

Line item	Amount
Accounts payable	$6,379.1
Accrued liabilities	919.5
Long-term debt	6,748.8
Other liabilities	(946.2)
Total liabilities	$13,101.3

Stockholders' Equity

Line item	Amount
Additional paid-in capital	$1,132.5
Retained earnings (deficit)	(3,788.8)
Accumulated other comprehensive loss	(298.6)
Other equity	3,222.3
Total stockholders' equity	$267.4

Line item	Amount
Total liabilities and stockholders' equity	$13,368.6

Consolidated Statement of Income (in millions)

Line item	Amount
Net sales	$16,486.4
Cost of sales	7,992.4
Selling, general and administrative expenses	6,160.7

Line item	Amount
Other operating items, net	(780.7)
Operating income	3,114.1
Interest expense	—
Income before income taxes	3,114.1
Income tax expense	521.7
Net income	$2,592.4

Consolidated Statement of Cash Flows (in millions)

Operating activities:

Line item	Amount
Net income	$2,592.4
Depreciation and amortization	512.8
Changes in working capital and other	(587.8)
Cash from operating activities	2,517.3

Investing activities:

Line item	Amount
Capital expenditures	(815.2)
Other investing activities	(388.1)
Cash used in investing activities	(1,203.3)

Financing activities:

Line item	Amount
Share repurchases	(3,066.9)
Other financing activities	1,368.0
Cash used in financing activities	(1,698.9)

Line item	Amount
Net decrease in cash	$(384.9)

Notes to Consolidated Financial Statements

Note 1. Inventory Inventory, stated at the lower of cost or market, totaled $4,378.4 million as of December 31, 2024, representing approximately 32.8% of total assets.

Note 2. Debt Long-term debt outstanding totaled $6,748.8 million as of December 31, 2024.

Note 3. Stockholders' Equity Stockholders' equity totaled $267.4 million as of December 31, 2024, reflecting an accumulated deficit of $3,788.8 million resulting primarily from share repurchases in excess of cumulative net income over our operating history. During fiscal 2024, we used $3,066.9 million of cash for share repurchases and paid no dividends.

Note 4. Income Taxes Our effective tax rate for fiscal 2024 was 16.8%, below the 21% U.S. federal statutory rate, reflecting discrete tax items in the period.

Note 5. Commitments and Contingencies We are subject to various claims and legal proceedings, including product liability and general liability matters, arising in the ordinary course of business. We do not believe the resolution of these matters, individually or in the aggregate, will have a material adverse effect on our consolidated financial position or results of operations.